

INSTRUCTIONAL AREA
Managing Credit

PERSONAL FINANCIAL LITERACY EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Explain how landlords, potential employers, and insurance companies use credit reports and credit scores in decision-making.
2. Identify the main factors that are included in credit score calculations.
3. Investigate what happens to a low introductory interest rate when the borrower misses a payment or makes a late payment.

EVENT SITUATION

You are to assume the role of a credit counselor at CLEARPATH CREDIT COUNSELING, a nonprofit organization. A client (judge) has had several setbacks related to credit and has asked for your help.

The client (judge) is 22 and graduated from college in May. In the past month, the client (judge):

- Was turned down for an apartment after the landlord ran a credit check
- Was told that a job offer from a regional bank depends on a background and credit review
- Received a car insurance renewal notice with a higher premium

Eighteen months ago, the client (judge) opened a store credit card with a 0% introductory APR for 15 months and used it to buy a laptop and furniture. During a busy move last spring, the client (judge) missed two payments in a row. The card company then replaced the 0% rate with a 29.99% penalty APR. Here is the client's (judge's) current credit profile:

Credit score	588
Length of credit history	18 months
Store credit card balance / limit	$2,100 / $2,500
Other debt	Two "buy now, pay later" plans, both current
Payment history	Two missed payments on the store card
New credit applications	Three credit card applications in the last two months, all denied

After the apartment denial, the client (judge) applied for three new credit cards to "build credit faster." The client (judge) wants you to explain why landlords, employers and insurers care about credit, what goes into a credit score and what happened to the 0% introductory rate.

You will present the information to the client (judge) in a meeting at the CLEARPATH office. The client (judge) will begin the meeting by greeting you and asking about credit. After you have presented the information and answered the client's (judge's) questions, the client (judge) will conclude the meeting by thanking you for your work.

Possible Judge's Questions:

1. I've never missed a rent payment. Why does a landlord care about a store credit card?
2. How long will it take to rebuild my score enough to rent an apartment?

	Rate the participants' ability to:	Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Explain how landlords, potential employers, and insurance companies use credit reports and credit scores in decision-making.	0-1-2-3-4-5	6-7-8-9-10-11	12-13-14-15-16	17	
2.	Identify the main factors that are included in credit score calculations.	0-1-2-3-4-5	6-7-8-9-10-11	12-13-14-15-16	17	
3.	Investigate what happens to a low introductory interest rate when the borrower misses a payment or makes a late payment.	0-1-2-3-4-5	6-7-8-9-10-11	12-13-14-15-16	17	
SOLUTION						
4.	**Unique** Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
5.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
6.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
7.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
8.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
9.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
10.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4	5-6	7	
					TOTAL SCORE	